

Asia Tech Hardware

Luxshare Precision Industry Co Ltd

Rating

Outperform

Price Target

002475.CH

86.00 CNY



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Luxshare 2Q26: resilient consumer business;12M-units optical transceiver capacity by mid-2027

Luxshare reported 2Q26 earnings on 24 Aug and hosted its earnings call today.

2Q26 results were broadly in line. 2Q26 revenue grew 8% QoQ/44% YoY to RMB91B, 6% above consensus. Gross margin (GM) was in line, but higher FX-related finance costs limited EPS growth to 16% YoY, 5% below consensus. Relative to other ODMs with significant consumer-electronics exposure, Luxshare delivered resilient results in 1H26 (Exhibit 3). Despite continued FX headwinds and higher raw material and logistics costs, management guided for 9M26 net-profit growth of 15–25% YoY. We think the 20% midpoint is likely ahead of buy-side expectations.

AI server components revenue growth should accelerate from 4Q26, led initially by copper connectivity and optical transceivers. 1H26 Communication revenue grew 50% YoY to RMB 16.7B (c.10% of total revenue) driven by server assembly in local market and the ramp of copper connectivity products. Segment GM fell 2.5ppt YoY to 17.3%, reflecting initial AI-product ramp costs and a higher mix of lower-margin server assembly. Following two years of product preparation and qualification, Luxshare expects to begin cable-cartridge shipments in 4Q26. In optical transceivers, the company plans to expand to 10 automated production lines with 12m-unit capacity by mid-2027, with volume shipments of 1.6T modules starting in early 2027. To support AI development and overseas expansion, 1H26 capex increased just 8% YoY as the company reduced consumer-electronics capex.

We raise revenue growth CAGR to 16% YoY in 2025-28 while keeping EPS CAGR broadly unchanged at 27%. We revised up communication revenue CAGR to 48% reflecting better visibility of cable cartridge and optical transceiver business. Versus our May-2026 market sizing assumptions ([Luxshare deep dive](#)), we raised #1.6T shipment to 2.5M (total optical transceiver shipment >5M units), while reducing ASP to US\$800 next year. We estimate 1.6T products will contribute RMB 2.5B in net profit, or 9% of company NP in 2027 (Exhibit 7). We slightly lower gross margin and modestly raise finance costs and the tax rate, leaving EPS largely unchanged versus our prior estimates. We keep RMB86 target price, based on 25x our 2027 EPS forecast of RMB3.5.

(continue on page 2)

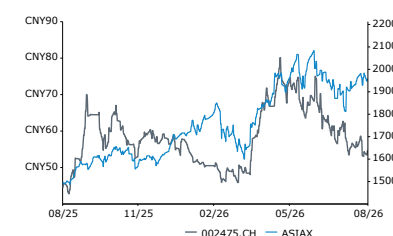
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
002475.CH (CNY)	2.26	2.64	3.48	Revenues (M)	332,344	399,225	449,229	16.3%	Reported P/E (x)	25.3	21.6	16.4
OLD	--	2.66	3.45	EBIT Margin (%)	5.8	5.9	6.8	--	EV/EBITDA (x)	15.3	13.4	11.1

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	26 Aug 2026			
002475.CH Close Price (CNY)	57.11			
Price Target (CNY)	86.00			
Upside/(Downside)	51%			
52-Week Range	81.78/42.99			
ASIAX	1,950.18			
FYE	Dec			
Div Yield	0.4%			
Market Cap (CNY) (M)	440,748			
EV (CNY) (M)	495,196			
Performance	YTD	1M	6M	12M
Absolute (%)	0.7	(5.7)	11.6	25.2
ASIAX (%)	19.2	3.7	5.6	29.2
Relative (%)	(18.5)	(9.5)	6.0	(3.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

Overall, Luxshare is building as AI server component platform for overseas customers, including copper and optical connectiveness, cooling and power solutions. Its time-to-market and mass production capabilities should become increasingly important as CSPs face rising AI-server BOM costs. Trading at 16x P/E, we see the valuation as attractive, particularly with EPS growth expected to accelerate next year. **Outperform.**

DETAILS

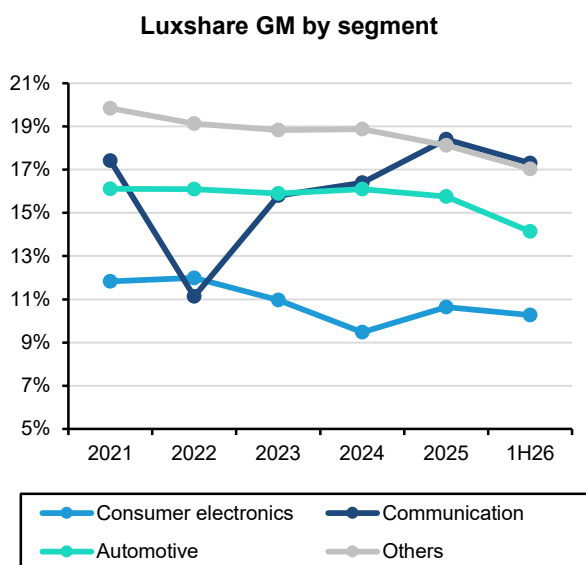
2Q26 EARNINGS RESULTS

EXHIBIT 1: **2Q26 revenue came in 6% above consensus, with gross margin largely in line; net profit fell short of expectations, primarily due to FX-related losses**

(RMB in Millions)	1Q26 Actual	2Q26 Actual	QoQ	Bernstein	Consensus	Difference vs.	
						Bernstein	Consensus
Revenue	83,888	90,616	8.0%	93,921	85,713	-3.5%	5.7%
Gross Profit	10,000	10,554	5.5%	10,876	9,964	-3.0%	5.9%
Margin	11.9%	11.6%	-0.3%	11.6%	11.6%	0.1%	0.0%
Adj. Operating Profit	4,284	5,207	21.6%	4,890	3,859	6.5%	34.9%
Margin	5.1%	5.7%	0.6%	5.2%	4.5%	0.5%	1.2%
Profit Attribute to Shareholders	3,660	4,183	14.3%	4,337	4,337	-3.5%	-3.5%
Margin	4.4%	4.6%	0.3%	4.6%	5.1%	0.0%	-0.5%
EPS (RMB)	0.49	0.56	14.8%	0.58	0.59	-3.1%	-4.5%

Source: Company data, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: **GM declined across major segments, weighed by adverse FX movements, greater contribution from low-margin ODM business, and inflation in raw-material costs**



Source: Company reports, Bernstein analysis

EXHIBIT 3: **Luxshare's growth remains resilient despite a weak consumer-electronics market this year**

ODM	2026E Rev. (US\$M)	1H26 YoY		1H26 Consumer electronics mix	Guidance
		Sales	Net profit		
Hon Hai	335,687	35%	27%	51%	Consumer segment to post decent YoY growth in 3Q26
Luxshare	61,354	42%	18%	70%	Company 9M26 guidance: 15-25% net profit growth
Huaqin	30,733	12%	59%	78%	Consumer electronics growth to remain stable, supported by share gains
Lens Tech	11,353	-12%	-50%	84%	Consumer electronics remains weak, particularly Android assembly
Longcheer	6,579	-6%	-45%	95%	Sales pressure to persist; reducing low-end projects to focus on higher-end products

Longcheer 1H26 data is based on Bloomberg estimates

Source: Company reports, Bloomberg, and Bernstein analysis

MODEL UPDATE

We model Luxshare's non-Apple business to grow at a c.30% CAGR from 2025 to 2028. For **communication** segment, we model c.45% revenue CAGR in 2025-28, factoring accelerated copper connectivity growth in 4Q26 and power/thermal/optical components shipment in 2027. Due to a strong growth of local server assembly and initial ramp cost of overseas AI products, 1H26 segment gross margin slid 2.5ppts YoY to 17.3%. We model it to grow to 20% next year driven by higher-margin component sales (vs. assembly) next year.

Versus our May-2026 market sizing assumptions ([Luxshare deep dive](#)), we raised #1.6T shipment to 2.5M (total optical transceiver shipment >5M units), while reducing ASP to US\$800 next year. We estimate 1.6T products will contribute RMB 2.5B in net profit, or 9% of company NP in 2027 (Exhibit 7).

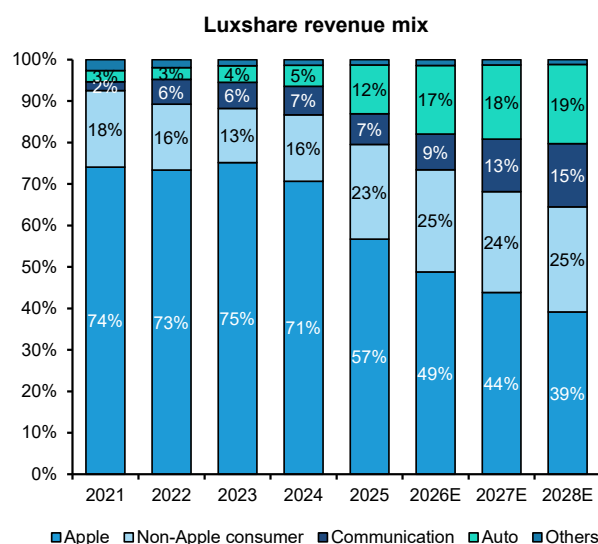
For **auto**, we model Leoni's integration to contribute c.10% of total revenue, driving overall auto segment to grow at c.35% CAGR in 2025-28. For bottom line, we expect Leoni to contribute ~5% of net profit next year. For non-Apple consumer, we model it to grow at 20%+ revenue CAGR in 2025-28, factoring in WingTech's Andriod ODM and Luxshare's foray into PC ODM market.

For the Apple business, we expect iPhone shipments to be flattish this year, and grow 3% in 2027. Factoring WingTech's Mac assembly business, we model total Apple-related revenue to grow at 3% CAGR into 2028. Regarding iPhone assembly business, we expect the net profit margin of Lizhen to improve steadily from current 1.3% to 1.7% by 2026, and the net profit attributed to Luxshare will reach nearly c.RMB5B (or 15% of Luxshare's adjusted operating profit) by 2028E.

We project Luxshare's revenue/EPS to grow at c.16%/27% CAGR from 2025 to 2028. EPS growth is expected to accelerate from 2027 onward, driven by the robust demand for copper connectivity and optical transceiver. Applying 25x P/E (unchanged) to 2027 EPS of RMB3.5 (unchanged), we maintain our price target of RMB86.

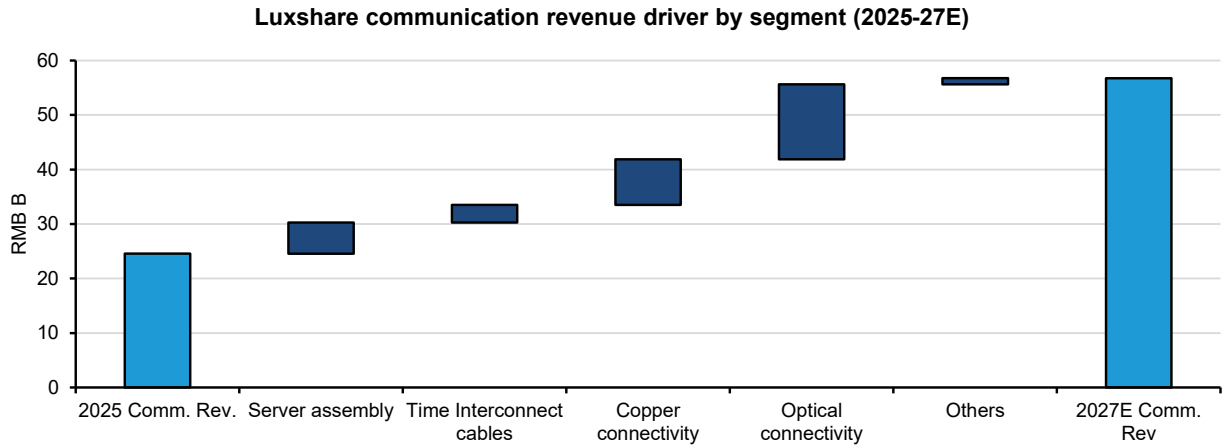
Overall, Luxshare is building as AI server component platform for overseas customers, including copper and optical connectiveness, cooling and power solutions. Its time-to-market and mass production capabilities should become increasingly important as CSPs face rising AI-server BOM costs. Trading at 16x P/E, we see the valuation as attractive, particularly with EPS growth expected to accelerate next year. **Outperform.**

EXHIBIT 4: Luxshare continues to diversify its business



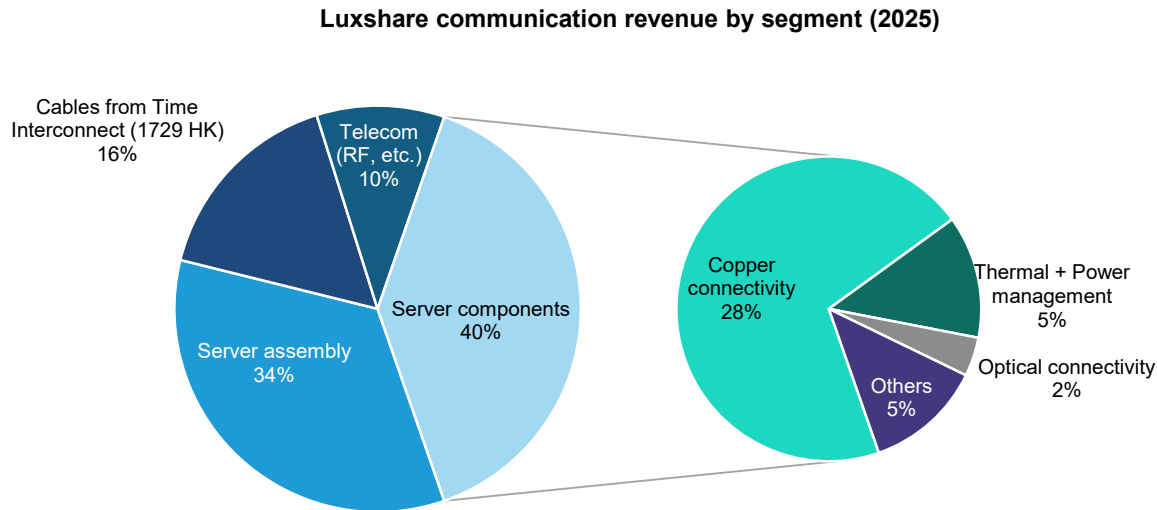
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 5: **We expect Components for AIDC will be major growth driver for Luxshare in 2026-27E**



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 6: **Luxshare's communication segment revenue breakdown in 2025**



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 7: We model Luxshare to ship 2.5M 1.6T optical transceiver next year, generating RMB 13.6B revenue, or 3% of company revenue

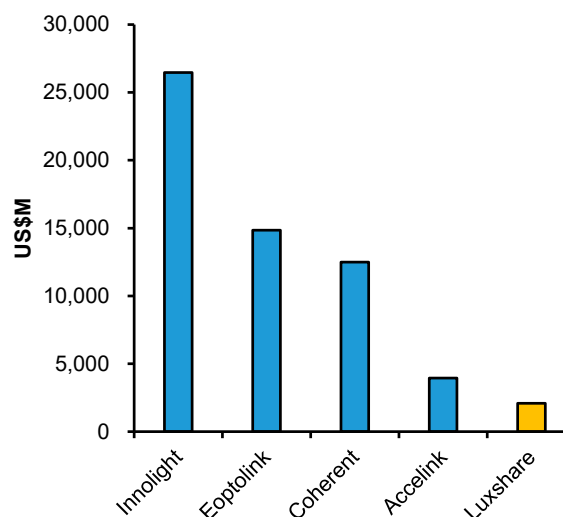
Optical transceiver

	2026E	2027E	2028E
# of 1.6T transceiver shipment (K units)	70	2,500	5,500
ASP (US\$)	1,050	800	640
YoY		-24%	-20%
Revenue (RMB B)	0.5	13.6	23.9
Revenue (US\$M)	73.5	2,000	3,520
Net profit (RMB B)	0.1	2.4	4.3
NPM	10%	18%	18%
As % of communication revenue	1.5%	24.0%	30.1%
As % of company revenue	0.1%	3.0%	4.6%
As % of company profit	0.2%	8.9%	12.0%

Source: Company reports, Bernstein analysis

EXHIBIT 8: Luxshare's 2027E optical transceiver revenue remains relatively small compared with industry leaders

2027E Optical Transceiver Revenue: Industry Leaders vs. Luxshare



Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 9: Our 2027-28 EPS is 4% and 2% below cons., respectively

Luxshare Comparison Table	2026E	2027E	2028E
Revenue (RMB B)			
Bernstein Old	387	432	499
YoY	16%	12%	16%
Bernstein	399	449	520
YoY	20%	12%	16%
Consensus	413	487	578
YoY	24%	18%	19%
New vs. old	3%	4%	4%
BERN vs. consensus	-3%	-8%	-10%
GM			
Bernstein Old	12.0%	12.7%	13.2%
Bernstein	11.9%	12.7%	13.1%
Consensus	12.1%	12.7%	13.3%
New vs. old	-0.1%	0.0%	0.0%
BERN vs. consensus	-0.1%	0.0%	-0.2%
OPM			
Bernstein Old	5.8%	6.8%	7.5%
Bernstein	5.8%	6.8%	7.6%
Consensus	5.4%	6.1%	6.7%
New vs. old	0.0%	0.0%	0.1%
BERN vs. consensus	0.5%	0.7%	0.9%
Profit Attributable to Shareholders (RMB B)			
Bernstein Old	19.7	26.0	34.0
YoY	19%	32%	31%
Bernstein	19.7	25.9	33.9
YoY	19%	32%	31%
Consensus	21.6	27.9	35.8
YoY	26%	29%	29%
Basic EPS (RMB)			
Bernstein Old	2.7	3.5	4.6
YoY	19%	30%	30%
Bernstein	2.7	3.5	4.6
YoY	18%	32%	31%
Consensus	2.9	3.7	4.7
YoY	22%	28%	28%
New vs. old	-1%	0%	1%
BERN vs. consensus	-7%	-4%	-2%

Source: Bloomberg, Bernstein analysis and estimates

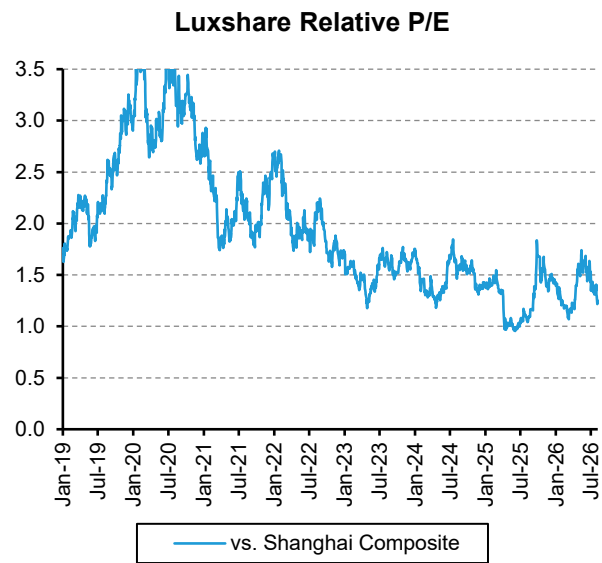
EXHIBIT 10: Luxshare is trading below its average P/E

Luxshare Forward P/E



Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 11: **Luxshare's relative P/E to Shanghai Composite is not stretched**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 12: Luxshare Financial Statements

RMB in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Income Statement							
Net Sales	214,028	231,905	268,795	332,344	398,915	448,647	520,250
Gross Profit	26,100	26,864	27,985	39,589	47,667	57,112	68,290
SG&A Expense	5,907	6,432	7,412	12,529	14,208	15,086	15,841
R&D Expense	8,447	8,189	8,556	11,428	13,391	14,300	15,730
EBIT	11,154	12,860	16,142	19,156	23,324	30,323	39,543
EBITDA	18,728	22,889	26,972	32,419	36,806	44,355	55,150
Pretax Income	11,158	12,885	16,109	19,550	23,295	30,323	39,543
Tax	667	642	1,530	1,380	2,166	2,779	3,824
Net Income	9,163	10,953	13,366	16,600	19,696	25,936	33,932
Earnings Per Share (RMB) (Basic)	1.3	1.5	1.9	2.3	2.7	3.5	4.6
Margin Analysis							
Gross Profit	12.2%	11.6%	10.4%	11.9%	11.9%	12.7%	13.1%
EBIT	5.2%	5.5%	6.0%	5.8%	5.8%	6.8%	7.6%
Net Income	4.3%	4.7%	5.0%	5.0%	4.9%	5.8%	6.5%
Sequential Growth							
Net Sales	39.0%	8.4%	15.9%	23.6%	20.0%	12.5%	16.0%
EBIT	36.6%	15.3%	25.5%	18.7%	21.8%	30.0%	30.4%
Net Income	29.6%	19.5%	22.0%	24.2%	18.7%	31.7%	30.8%
Earnings Per Share	27.7%	19.4%	20.8%	23.1%	17.7%	31.6%	30.8%
Balance Sheet							
Cash and Cash Equivalents	19,367	33,620	48,360	61,159	76,070	85,473	89,313
Accounts Receivable	26,993	23,766	34,017	50,224	54,262	65,232	86,972
Inventory	37,363	29,758	31,703	42,333	49,954	59,344	78,183
Net Fixed Assets	46,721	46,787	53,610	70,191	68,589	72,503	72,503
Total Assets	148,384	161,992	223,828	306,538	348,496	390,765	451,815
Accounts Payable	50,302	46,401	65,966	84,013	91,511	108,712	143,222
Total Debt	26,851	35,470	58,394	80,496	94,776	90,531	75,879
Total Equity	58,784	70,285	84,687	104,020	126,529	151,116	182,944
Cash Flow							
Cash Flow From Operations	10,167	30,127	25,804	19,431	44,908	37,536	41,829
Cash Flow From Investments	(13,326)	(19,560)	(35,656)	(24,207)	(37,757)	(18,152)	(15,623)
Cash Flow From Financing	8,156	4,070	25,890	19,290	11,325	(7,202)	(18,542)
Depreciation & Amortization	7,573	10,029	10,830	13,263	13,482	14,032	15,608
Capex	(13,584)	(11,387)	(12,111)	(17,904)	(20,553)	(17,946)	(15,608)
FCF	(4,088)	18,074	12,193	(219)	22,215	16,811	29,288
As % of EBITDA	-22%	79%	45%	-1%	60%	38%	53%
Key Financial Metrics							
ROE	22.7%	21.5%	21.3%	21.5%	20.7%	22.2%	23.7%
ROA	7.8%	7.9%	7.6%	6.9%	6.5%	7.5%	8.5%
Debt / Equity	45.7%	50.5%	69.0%	77.4%	74.9%	59.9%	41.5%
Net Debt / Equity	12.7%	2.6%	11.8%	18.6%	14.8%	3.3%	-7.3%
Debt / Capital	31.4%	33.5%	40.8%	43.6%	42.8%	37.5%	29.3%
Dividend Per Share (RMB)	0.1	0.1	0.3	0.2	0.3	0.4	0.5
Dividend Payout Ratio	10.0%	8.8%	17.6%	10.0%	11.1%	14.0%	14.1%

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	26 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
002475.CH (Luxshare)	O	CNY	57.11	86.00	(3.9)%	CNY	2.26	2.64	3.48	25.3	21.6	16.4
OLD								2.66	3.45			
ASIA			1,950.18									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Luxshare Precision Industry Co Ltd**

We set a RMB86 target price using a P/E multiple of 25x against our 2027 EPS of RMB3.5.

RISKS**Luxshare Precision Industry Co Ltd**

Downside risks to our price target for Luxshare include:

- Weaker-than-expected iPhone 18 replacement cycle
- Slower-than-expected share gains for key products in AI server
- Stronger-than-expected margin pressure due to new product ramp or competition
- Higher-than-expected memory price impact

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

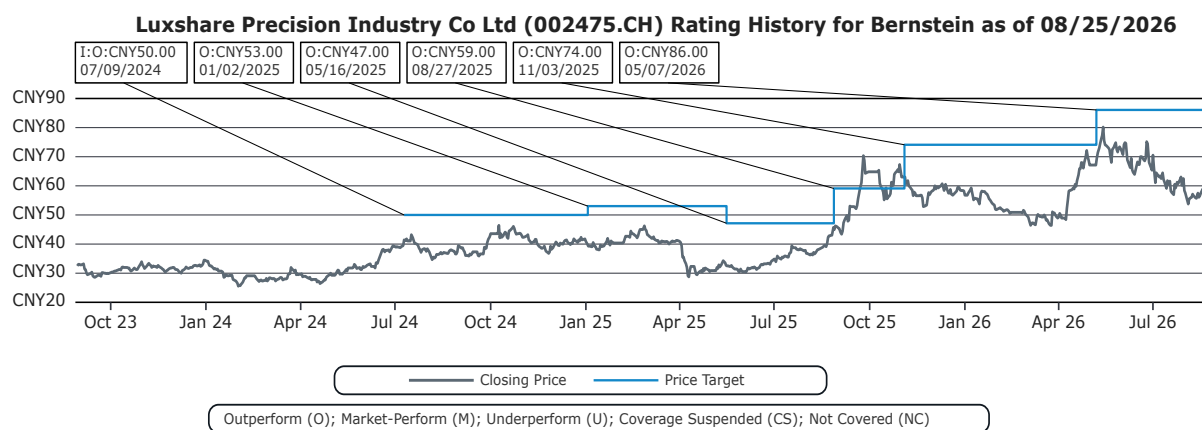
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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